Marketing Management - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Research describing the who, what, when, where and how of a situation is
A. exploratory research
B. causal research
C. basic research
D. descriptive research

2. 'Jaago Re' was launched by
A. Surf Excel
B. Bajaj
C. Tata Tea
D. Titan

3. 'A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value' is the definition by
A. Peter Drucker
B. Philip Kotler
C. Michael Porter
D. Henri Fayol

4. Information collected about competitors and industry trends belongs to
A. information output
B. marketing intelligence
C. data warehousing
D. internal records

5. A panel of respondents interviewed repeatedly over time forms a
A. longitudinal study
B. census
C. pilot study
D. cross-sectional study

6. Which of these is NOT part of the promotion mix?
A. Personal selling
B. Product design
C. Advertising
D. Public relations

7. The three steps in the process of marketing management are
A. preparing a budget, raising finance and paying dividends
B. choosing a target market, creating demand, creating superior value
C. planning production, purchasing materials and storing finished goods
D. recruiting staff, training them and appraising their performance

8. Consumer behaviour is the study of how consumers
A. select, buy, use and dispose of products and services
B. manufacture, price and distribute the goods that the firm sells
C. finance, produce and audit the products sold by the firm
D. advertise, promote and publicise the products of the firm

9. A group of closely related products is called a
A. product line
B. brand mark
C. product mix
D. trade channel

10. Which is the correct order of the first three NPD stages?
A. Idea generation, idea screening, concept testing
B. Concept testing, commercialisation, screening
C. Business analysis, idea generation, launch
D. Screening, test marketing, idea generation

11. Customer satisfaction is key to the
A. increase in the number of intermediaries in the channel
B. avoidance of competition from other firms in the market
C. reduction of the wages paid to the employees of the firm
D. survival and growth of an organisation

12. Rapid sales growth and rising profits happen in the
A. growth stage
B. introduction stage
C. decline stage
D. test-marketing stage

13. In PPC advertising, the advertiser pays
A. monthly salary
B. per page printed
C. when the ad is created
D. only when a user clicks the ad

14. Making false, exaggerated or unsubstantiated environmental claims is
A. eco-labelling
B. greenwashing
C. green alliance
D. recycling

15. A high initial price that is lowered over time is called
A. market skimming
B. market penetration
C. psychological pricing
D. cost-plus pricing

16. SEO and pay-per-click are tools of
A. digital (search engine) marketing
B. logistics and warehousing of goods
C. personal selling by field staff
D. packaging and labelling of goods

17. The extended mix for services adds People, Process and
A. Production
B. Profit
C. Physical evidence
D. Publicity

18. Which scale has a true zero and meaningful ratios?
A. Ratio
B. Interval
C. Nominal
D. Ordinal

19. ESG stands for
A. Environmental, Social and Governance
B. Economic, Social and General
C. Ethics, Sales and Goals
D. Energy, Safety and Growth

20. Nike By You (design your own shoes) is
A. uniqueness

B. low pricing
C. customisation
D. convenience

21. Which is a NON-probability sampling method?
A. Cluster sampling
B. Quota sampling
C. Stratified sampling
D. Systematic sampling

22. Charging different prices for the same product in peak and off-peak periods is
A. break-even pricing
B. price discrimination
C. cost-plus pricing
D. sealed-bid pricing

23. Personal income, savings and consumer credit are
A. legal factors
B. personal factors only
C. economic factors
D. social factors

24. Warranty, free delivery and after-sales service form the
A. potential demand
B. augmented product
C. generic product
D. core product

25. Marketing is best described as
A. producing goods in large quantities at the lowest possible cost
B. identifying, anticipating and satisfying customer needs profitably
C. persuading customers to buy the products already manufactured by the firm
D. advertising the products of the firm through television and newspapers

26. Domino's reformulating its recipe and admitting criticism is
A. image repositioning
B. segmentation
C. undifferentiated marketing
D. product / tangible repositioning

27. Evaluating segments and selecting one or more to serve is
A. targeting
B. positioning
C. branding
D. segmentation

28. Same product, new perception through tone and channel is
A. intangible repositioning
B. product repositioning
C. tangible repositioning
D. image repositioning

29. Marketing can be proactive and reactive. Creating demand is
A. passive
B. reactive
C. static
D. proactive

30. Buying the same toothpaste without much thought is
A. complex buying
B. habitual buying behaviour
C. dissonance-reducing

D. variety-seeking

31. Which is NOT a criterion for effective targeting?
A. Accessible
B. Measurable
C. Ambiguous
D. Substantial

32. STP stands for
A. Segmentation, Targeting, Positioning
B. Sales, Trade, Profit
C. Selling, Telling, Providing
D. Strategy, Tactics, Planning

33. The main aim of physical distribution is to deliver the right goods
A. only to the nearest customers of the firm
B. at the right place and time at the lowest total cost
C. only through the shops owned by the firm
D. at the highest possible price to every customer

34. Which stage forecasts sales, costs and profits of a new product?
A. Test marketing
B. Business analysis
C. Idea screening
D. Idea generation

35. Lifestyle, personality and values are bases of
A. geographic segmentation
B. behavioural segmentation
C. psychographic segmentation
D. demographic segmentation

36. Life insurance is typically an example of
A. a convenience good
B. a shopping good
C. a raw material
D. an unsought good

37. The null hypothesis states that
A. there is always an effect
B. the sample is wrong
C. the sample is large
D. there is no effect or difference

38. A commission per sale earned through creators and bloggers is
A. email marketing
B. affiliate marketing
C. video marketing
D. SMS marketing

39. The societal marketing concept balances
A. advertising expenditure, sales force strength and the discounts offered
B. company profit, consumer wants and public interest
C. product quality, brand image and the number of distribution outlets
D. sales volume, production cost and the price charged by competitors

40. Motivation, perception, learning and attitude are
A. psychological factors
B. social factors
C. economic factors
D. cultural factors

41. Break-even units are found by
A. variable cost added to the selling price per unit
B. fixed cost multiplied by the selling price per unit
C. fixed cost / (price - variable cost per unit)
D. total sales divided by total cost of the firm

42. 'Don't Buy This Jacket' is a green marketing campaign of
A. Patagonia
B. IKEA
C. Nike
D. Starbucks

43. Reference group, family, and role and status are
A. psychological factors
B. cultural factors
C. economic factors
D. social factors

44. Patagonia and The Body Shop are examples of the
A. selling concept
B. societal marketing concept
C. product concept
D. production concept

45. The 4Ps framework was popularised by
A. Henri Fayol
B. E. Jerome McCarthy
C. Philip Kotler alone
D. Michael Porter

46. Age, gender, income and occupation are bases of
A. geographic segmentation
B. behavioural segmentation
C. demographic segmentation
D. psychographic segmentation

47. Using an existing brand name for a product in a new category is a
A. line extension
B. multi-brand strategy
C. private label
D. brand extension

48. The final stage of new product development is
A. business analysis
B. idea generation
C. concept development
D. commercialisation

49. The selling concept assumes consumers
A. prefer the products that are available everywhere at the lowest price
B. will buy only those products that benefit society in the long run
C. prefer the products which are of the highest quality and performance
D. will not buy enough unless persuaded through aggressive selling and promotion

50. Rolls-Royce focusing on the ultra-luxury segment is
A. differentiated marketing
B. undifferentiated marketing
C. mass marketing
D. concentrated (niche) marketing

Answer key - Set 1

1. **D**	11. **D**	21. **B**	31. **C**	41. **C**
2. **C**	12. **A**	22. **B**	32. **A**	42. **A**
3. **B**	13. **D**	23. **C**	33. **B**	43. **D**
4. **B**	14. **B**	24. **B**	34. **B**	44. **B**
5. **A**	15. **A**	25. **B**	35. **C**	45. **B**
6. **B**	16. **A**	26. **D**	36. **D**	46. **C**
7. **B**	17. **C**	27. **A**	37. **D**	47. **D**
8. **A**	18. **A**	28. **D**	38. **B**	48. **D**
9. **A**	19. **A**	29. **D**	39. **B**	49. **D**
10. **A**	20. **C**	30. **B**	40. **A**	50. **D**

Answers with explanations

1. Research describing the who, what, when, where and how of a situation is

Answer: D. descriptive research

Why correct: Describing who, what, when, where and how is descriptive research.

A is wrong: Exploratory searches for ideas.

B is wrong: Causal tests causes.

C is wrong: Basic builds knowledge.

2. 'Jaago Re' was launched by

Answer: C. Tata Tea

Why correct: 'Jaago Re' was launched by Tata Tea.

A is wrong: Surf Excel is 'Daag Achhe Hain'.

B is wrong: Bajaj has other taglines.

D is wrong: Titan has other taglines.

3. 'A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value' is the definition by

Answer: B. Philip Kotler

Why correct: This 'social process' definition of marketing is Philip Kotler's.

A is wrong: Drucker is known for management by objectives.

C is wrong: Porter is known for competitive strategy.

D is wrong: Fayol is a management theorist.

4. Information collected about competitors and industry trends belongs to

Answer: B. marketing intelligence

Why correct: Competitor and industry information comes from marketing intelligence.

A is wrong: Information output presents results.

C is wrong: Data warehousing stores data.

D is wrong: Internal records are the firm's own data.

5. A panel of respondents interviewed repeatedly over time forms a

Answer: A. longitudinal study

Why correct: The same panel interviewed repeatedly over time is a longitudinal study.

B is wrong: A census covers everyone.

C is wrong: A pilot is a small trial.

D is wrong: Cross-sectional is once.

6. Which of these is NOT part of the promotion mix?

Answer: B. Product design

Why correct: Design is a product decision.

A is wrong: Personal selling is a promotion tool.

C is wrong: Advertising is a promotion tool.

D is wrong: PR is a promotion tool.

7. The three steps in the process of marketing management are

Answer: B. choosing a target market, creating demand, creating superior value

Why correct: The process: choose a target market, create demand, deliver superior value.

A is wrong: Budgeting and dividends are finance.

C is wrong: Production planning is operations.

D is wrong: Staffing is HR.

8. Consumer behaviour is the study of how consumers

Answer: A. select, buy, use and dispose of products and services

Why correct: Consumer behaviour studies how people select, buy, use and dispose of products.

B is wrong: That is production/distribution.

C is wrong: That is finance/audit.

D is wrong: That is promotion.

9. A group of closely related products is called a

Answer: A. product line

Why correct: A product line shares use, customers or channels.

B is wrong: A brand mark is a symbol.

C is wrong: The mix is all lines together.

D is wrong: A trade channel is a distribution path.

10. Which is the correct order of the first three NPD stages?

Answer: A. Idea generation, idea screening, concept testing

Why correct: NPD starts with ideas, drops weak ones, then tests the concept.

B is wrong: Commercialisation is the last stage.

C is wrong: Business analysis follows strategy, not the first stage.

D is wrong: Test marketing comes near the end.

11. Customer satisfaction is key to the

Answer: D. survival and growth of an organisation

Why correct: Satisfied customers keep the firm alive and growing.

A is wrong: More intermediaries is not the aim.

B is wrong: Competition cannot be avoided.

C is wrong: It is not about cutting wages.

12. Rapid sales growth and rising profits happen in the

Answer: A. growth stage

Why correct: Customers accept the product and competitors begin to enter.

B is wrong: Sales are slow at introduction.

C is wrong: Sales fall in decline.

D is wrong: Test marketing is an NPD stage, not a PLC stage.

13. In PPC advertising, the advertiser pays

Answer: D. only when a user clicks the ad

Why correct: In pay-per-click you pay only when someone clicks the ad.

A is wrong: Not a monthly salary.

B is wrong: Not per printed page.

C is wrong: Not on creation.

14. Making false, exaggerated or unsubstantiated environmental claims is

Answer: B. greenwashing

Why correct: False or exaggerated environmental claims are greenwashing.

A is wrong: Eco-labelling is a certified label.

C is wrong: A green alliance is a partnership.

D is wrong: Recycling is reuse.

15. A high initial price that is lowered over time is called

Answer: A. market skimming

Why correct: Skimming takes the cream from willing buyers first.

B is wrong: Penetration starts low.

C is wrong: Psychological pricing uses odd prices like Rs 999.

D is wrong: Cost-plus adds mark-up to cost.

16. SEO and pay-per-click are tools of

Answer: A. digital (search engine) marketing

Why correct: They bring visitors from search engines to a website.

B is wrong: Logistics moves goods.

C is wrong: Personal selling is face to face.

D is wrong: Packaging holds the product.

17. The extended mix for services adds People, Process and

Answer: C. Physical evidence

Why correct: Services need tangible cues - premises, uniforms, brochures.

A is wrong: Production is not a service-mix element.

B is wrong: Profit is an outcome, not a mix tool.

D is wrong: Publicity is part of promotion.

18. Which scale has a true zero and meaningful ratios?

Answer: A. Ratio

Why correct: Ratio has a true zero so ratios mean something.

B is wrong: Interval has no true zero.

C is wrong: Nominal only names.

D is wrong: Ordinal only ranks.

19. ESG stands for

Answer: A. Environmental, Social and Governance

Why correct: ESG = Environmental, Social and Governance - the three areas used to judge a firm's sustainability.

B is wrong: ESG has no economic or general element.

C is wrong: Ethics, sales and goals are not the ESG pillars.

D is wrong: Energy, safety and growth are not the ESG pillars.

20. Nike By You (design your own shoes) is

Answer: C. customisation

Why correct: Designing your own shoes is customisation.

A is wrong: Uniqueness is distinctiveness.

B is wrong: Low pricing is cost-based.

D is wrong: Convenience is ease.

21. Which is a NON-probability sampling method?

Answer: B. Quota sampling

Why correct: Quota sampling uses judgment, so it is non-probability.

A is wrong: Cluster is probability.

C is wrong: Stratified is probability.

D is wrong: Systematic is probability.

22. Charging different prices for the same product in peak and off-peak periods is

Answer: B. price discrimination

Why correct: Different prices are charged without matching cost differences.

A is wrong: Break-even covers total cost.

C is wrong: Cost-plus uses a fixed mark-up.

D is wrong: Sealed-bid is a tender method.

23. Personal income, savings and consumer credit are

Answer: C. economic factors

Why correct: Income, savings and credit are economic factors.

A is wrong: Legal factors are laws.

B is wrong: Personal factors are age and occupation.

D is wrong: Social factors are groups.

24. Warranty, free delivery and after-sales service form the

Answer: B. augmented product

Why correct: The augmented product adds extra services and benefits.

A is wrong: Potential demand is not a product level.

C is wrong: The generic product is the basic form.

D is wrong: The core product is the basic need.

25. Marketing is best described as

Answer: B. identifying, anticipating and satisfying customer needs profitably

Why correct: Marketing finds out what customers need, anticipates it and satisfies it at a profit - it starts and ends with the customer.

A is wrong: Producing cheaply in bulk is the production concept.

C is wrong: Persuading people to buy what is already made is selling.

D is wrong: Advertising is only one part of marketing.

26. Domino's reformulating its recipe and admitting criticism is

Answer: D. product / tangible repositioning

Why correct: Domino's changed the recipe: a tangible/product change.

A is wrong: Image repositioning leaves the product alone.

B is wrong: Segmentation is dividing markets.

C is wrong: Undifferentiated marketing is one offer.

27. Evaluating segments and selecting one or more to serve is

Answer: A. targeting

Why correct: Evaluating and selecting segments to serve is targeting.

B is wrong: Positioning creates the image.

C is wrong: Branding names the product.

D is wrong: Segmentation divides the market.

28. Same product, new perception through tone and channel is

Answer: D. image repositioning

Why correct: Same product, new perception through tone and channel is image repositioning.

A is wrong: Intangible is not the term used here.

B is wrong: Product repositioning changes the product.

C is wrong: Tangible repositioning changes physical features.

29. Marketing can be proactive and reactive. Creating demand is

Answer: D. proactive

Why correct: Creating demand before customers ask is proactive marketing.

A is wrong: Passive is not the term used.

B is wrong: Reactive responds to existing demand.

C is wrong: Static is not the term used.

30. Buying the same toothpaste without much thought is

Answer: B. habitual buying behaviour

Why correct: Buying the same item without thought is habitual buying.

A is wrong: Complex needs research.

C is wrong: Dissonance-reducing involves doubt.

D is wrong: Variety-seeking switches brands.

31. Which is NOT a criterion for effective targeting?

Answer: C. Ambiguous

Why correct: An ambiguous segment cannot be measured or served, so it is not a criterion.

A is wrong: Accessible is a criterion.

B is wrong: Measurable is a criterion.

D is wrong: Substantial is a criterion.

32. STP stands for

Answer: A. Segmentation, Targeting, Positioning

Why correct: STP = Segmentation, Targeting, Positioning - divide the market, choose segments, fix the brand image.

B is wrong: Sales, trade and profit are results, not STP steps.

C is wrong: Selling, telling and providing are not the STP steps.

D is wrong: Strategy, tactics and planning are general planning words, not STP.

33. The main aim of physical distribution is to deliver the right goods

Answer: B. at the right place and time at the lowest total cost

Why correct: Service level and cost have to be balanced.

A is wrong: Distribution should cover all target markets.

C is wrong: Own shops are only one option.

D is wrong: A high price is not the aim.

34. Which stage forecasts sales, costs and profits of a new product?

Answer: B. Business analysis

Why correct: Business analysis checks the commercial attractiveness.

A is wrong: Test marketing checks market response.

C is wrong: Screening only drops poor ideas.

D is wrong: Idea generation collects ideas.

35. Lifestyle, personality and values are bases of

Answer: C. psychographic segmentation

Why correct: Lifestyle, personality and values are psychographic.

A is wrong: Geographic is place.

B is wrong: Behavioural is use.

D is wrong: Demographic is statistics.

36. Life insurance is typically an example of

Answer: D. an unsought good

Why correct: Buyers do not usually think about it until sold to.

A is wrong: Convenience goods are bought routinely.

B is wrong: Shopping goods are compared before buying.

C is wrong: Raw materials are industrial inputs.

37. The null hypothesis states that

Answer: D. there is no effect or difference

Why correct: The null hypothesis says there is no effect or difference.

A is wrong: Always an effect is the alternative.

B is wrong: It is not about sample correctness.

C is wrong: It is not about sample size.

38. A commission per sale earned through creators and bloggers is

Answer: B. affiliate marketing

Why correct: Commission on each sale through creators is affiliate marketing.

A is wrong: Email marketing sends mail.

C is wrong: Video marketing uses videos.

D is wrong: SMS marketing sends texts.

39. The societal marketing concept balances

Answer: B. company profit, consumer wants and public interest

Why correct: Societal marketing balances company profit, consumer wants and public interest.

A is wrong: That list is promotion factors.

C is wrong: That list is product factors.

D is wrong: That list is competitive factors.

40. Motivation, perception, learning and attitude are

Answer: A. psychological factors

Why correct: Motivation, perception, learning and attitude are psychological factors.

B is wrong: Social factors are groups and family.

C is wrong: Economic factors are income.

D is wrong: Cultural factors are values.

41. Break-even units are found by

Answer: C. fixed cost / (price - variable cost per unit)

Why correct: Each unit contributes (price - variable cost) towards fixed cost.

A is wrong: Adding is not meaningful.

B is wrong: Multiplying does not give units.

D is wrong: This ratio gives no number of units.

42. 'Don't Buy This Jacket' is a green marketing campaign of

Answer: A. Patagonia

Why correct: Patagonia's 'Don't Buy This Jacket' ad urged buying less.

B is wrong: IKEA is furniture.

C is wrong: Nike is a sportswear brand.

D is wrong: Starbucks is a coffee chain.

43. Reference group, family, and role and status are

Answer: D. social factors

Why correct: Reference group, family, role and status are social factors.

A is wrong: Psychological factors are motivation and attitude.

B is wrong: Cultural factors are culture and class.

C is wrong: Economic factors are income and prices.

44. Patagonia and The Body Shop are examples of the

Answer: B. societal marketing concept

Why correct: Patagonia and The Body Shop stress social and environmental good: societal marketing.

A is wrong: They do not push-sell.

C is wrong: They stress ethics beyond product quality.

D is wrong: They do not stress volume.

45. The 4Ps framework was popularised by

Answer: B. E. Jerome McCarthy

Why correct: McCarthy proposed the 4Ps in 1960; Kotler later popularised them.

A is wrong: Fayol is known for management principles.

C is wrong: Kotler popularised and extended the idea but did not originate the 4Ps.

D is wrong: Porter is known for competitive strategy.

46. Age, gender, income and occupation are bases of

Answer: C. demographic segmentation

Why correct: Age, gender, income and occupation are demographic bases.

A is wrong: Geographic is location.

B is wrong: Behavioural is usage.

D is wrong: Psychographic is lifestyle.

47. Using an existing brand name for a product in a new category is a

Answer: D. brand extension

Why correct: The brand's reputation is carried into a new category.

A is wrong: Line extension stays in the same category.

B is wrong: Multi-brand means several brands in one category.

C is wrong: Private labels are owned by retailers.

48. The final stage of new product development is

Answer: D. commercialisation

Why correct: The product is launched in full: when, where, to whom and how.

A is wrong: Business analysis comes midway.

B is wrong: Ideas come first.

C is wrong: Concept development comes early.

49. The selling concept assumes consumers

Answer: D. will not buy enough unless persuaded through aggressive selling and promotion

Why correct: The selling concept assumes people must be pushed to buy enough.

A is wrong: Availability and price is the production concept.

B is wrong: Social benefit is the societal concept.

C is wrong: Quality focus is the product concept.

50. Rolls-Royce focusing on the ultra-luxury segment is

Answer: D. concentrated (niche) marketing

Why correct: Rolls-Royce serves only the ultra-luxury niche: concentrated marketing.

A is wrong: It does not have many segments.

B is wrong: It does not serve everyone.

C is wrong: It is not mass marketing.